

Before the Federal Maritime Commission, Washington, D.C.

Docket No. 25-08

FormuKleen, Inc.
(Complainant)

vs.

Top Shipping Systems, Corp.
(Respondent)

**COMPLAINANT’S OPPOSITION TO RESPONDENT’S MOTION TO DISMISS FOR
LACK OF JURISDICTION**

Complainant FormuKleen, Inc. (“FormuKleen”), by and through its Representative Sara Dandan, opposes Respondent Top Shipping Systems, Corp.’s (“TSS”) Motion to Dismiss for Lack of Jurisdiction and states as follows:

I. The Commission Has Already Analyzed the Jurisdictional Question and Found Genuine Factual Disputes Requiring Development of the Record

The Motion to Dismiss asks the Commission to resolve the very question the Commission addressed in its Order Denying Motion for Summary Judgment, entered August 28, 2025 (the “August 28 Order”). In that Order, the Commission undertook a detailed analysis of whether TSS acted as a regulated entity, specifically as an NVOCC, in connection with the shipments at issue.

The Commission’s conclusion was not that the Commission lacks jurisdiction. The Commission found that TSS “admits to providing at least some services that an NVOCC would

provide, such as assisting with clearing shipments in accordance with government regulations, arranging for at least some inland transportation, coordinating some movement of shipments between the vessel and the destination, and making some payments on Complainant's behalf." (August 28 Order at 7, citing 46 C.F.R. § 515.2(k)(5), (6), (8), and (11)). The Commission simultaneously observed that other facts, such as the bills of lading being issued by entities other than TSS, cut the other way. (Id.). The Commission recognized that whether an entity acted as an NVOCC is a "fact intensive inquiry" requiring examination of the "totality of the circumstances." (Id., citing *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *5).

The Commission then identified specific factual gaps in the record that needed to be filled: whether TSS purchased transportation services from a common carrier and offered them for resale, whether it paid port-to-port charges, whether it entered into any agreement with the underlying shipper, and how TSS holds itself out as an NVOCC, including information about advertising and tariffs. (August 28 Order at 7). The Commission denied the Motion for Summary Judgment *without prejudice*, noting that the discovery period remained open. (Id. at 7-8). The import of the ruling was clear: develop the record through discovery.

Nothing has changed in the factual record since August 28, 2025, that would warrant a different conclusion. The only material development is that TSS has obstructed Complainant's efforts to obtain the very evidence the Commission identified as necessary.

II. Legal Standard

The Commission's Rules do not independently provide for motions to dismiss, but the Commission applies Federal Rule of Civil Procedure 12(b) under 46 C.F.R. § 502.12. In *Re*:

Vehicle Carrier Services, 2019 WL 5558120, at *4 (FMC Oct. 21, 2019); *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC Aug. 28, 2014). Respondent moves under Rule 12(b)(1) for lack of subject matter jurisdiction. "Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims." *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2019 WL 4734299, at *10 (FMC July 16, 2019). However, where, as here, the Commission believes that the jurisdictional question is intertwined with the merits and turns on disputed facts, dismissal is improper until the factual record has been developed. *Worldwide Relocations, Inc.*, 2012 WL 11914713, at *5. The Presiding Officer has already so held in his August 28 Order, which underscores that Respondent's request for dismissal before factual development is premature.

III. Complainant Cannot Develop the Record Without TSS's Documents, and TSS Knows This

FormuKleen retained TSS as its ocean transportation intermediary. TSS was the single point of contact between FormuKleen and every other entity in the transportation chain during operations. FormuKleen does not have independent communications with the drayage providers TSS engaged, the co-NVOCCs that issued the bills of lading (TopSeaLand and Qichen Logistics), nor with Dolphin Logistics and DHY Shipping Line, the warehouses, terminals, steamship lines, or other entities involved in the movement of the containers in question.

FormuKleen has no independent visibility into TSS's arrangements with origin or destination agents, its agreements with them, or how TSS participated in coordinating the movement of these shipments from China to Miami with others. Respondent asserts in its Motion

that Complainant's use of the term "freight forwarder" in the Verified Complaint "demonstrates a basic lack of understanding" of the function of an ocean freight forwarder. (Motion at 6). This characterization inadvertently proves Complainant's point. FormuKleen is a beneficial cargo owner that manufactures cleaning supplies. It is not a logistics company. In the shipping industry, "freight forwarder" is the common term cargo owners use to describe the company that handles their ocean freight, regardless of whether that company is technically operating as an OFF, an NVOCC, or both. The reason FormuKleen does not know the precise regulatory distinction is because that is exactly why it engaged TSS, a licensed OTI, to manage the entire ocean transportation process on its behalf. Respondent cannot simultaneously argue that Complainant is too unsophisticated to understand the regulatory distinctions and then claim Complainant should be able to develop the jurisdictional record without Respondent's internal files and third-party communications. That is precisely why FormuKleen engaged TSS as its OTI, and precisely why Respondent's effort to dismiss on an undeveloped record should be rejected.

TSS is the sole custodian of documents that would answer the questions the Commission identified in the August 28 Order. Whether TSS purchased transportation services, entered into arrangements with agents, arranged for and coordinated inland movement, or otherwise assumed responsibility for these shipments can only be established through TSS's own records. Complainant has sought these records through discovery. TSS has refused to produce them.

TSS now asks the Commission to dismiss the case because the record does not establish that TSS acted as an NVOCC. But the reason the record does not establish that fact is because

TSS has prevented it from being established. Dismissal under these circumstances would reward the very conduct this Commission has cautioned against.

IV. The Motion to Dismiss Is the Latest in a Pattern of Delay and Obstruction

TSS filed the Motion to Dismiss on the evening of Friday, March 13, 2026 at 11:51 p.m. EST, when its response to Complainant's pending Motion to Compel Discovery is due March 16, 2026. This is consistent with a pattern that has characterized TSS's conduct throughout this proceeding.

On September 17, 2025, Complainant filed a Motion for Protective Order after TSS refused to cooperate on a joint proposal. TSS then filed a response that, as the Commission observed, did not actually oppose the protective order in substance. (Order Requiring Supplemental Motion for Protective Order, Sept. 23, 2025, at 1).

While ignoring Complainant's conferral attempts on the issues raised in the separate Motion to Compel, Respondent sent a March 5, 2026 email expressly invoking "good faith" to describe its 234-page "supplementation." The production itself exposes that claim as empty. Rather than cure the deficiencies at issue, it largely repackaged materials already in Complainant's possession while continuing to withhold the discovery Respondent had been asked to produce for months. That is not good-faith compliance. It is a paper-heavy effort to create the appearance of cooperation while imposing needless review burdens on the Complainant while still evading the substance of discovery. That same pattern informs the present Motion to Dismiss. Respondent cannot withhold the very materials Complainant has sought for months, force Complainant to review a largely meaningless document dump that does not cure the dispute, and then seek dismissal on an incomplete factual record.

In its November 21, 2025, Order, the Commission found that "[i]t is the parties' failure to cooperate that led to a lack of a protective order until now," and stated that the "parties' failure to

cooperate - which they have done repeatedly since this case began - has now had real consequences in delaying the proceeding.” (Order Granting Joint Motion for Protective Order, and Granting in Part Motion to Extend Discovery and Case Deadlines, Nov. 21, 2025, at 2). The Commission shortened the parties’ proposed schedule and warned that future extensions “may not be granted, even if the motion is made jointly, unless the moving party or parties can show extraordinary circumstances.” (Id. at 3).

The same pattern is now repeating. TSS has refused to produce documents responsive to Complainant’s discovery requests. Complainant filed a Motion to Compel. Rather than respond to the Motion to Compel on the merits, TSS filed a Motion to Dismiss. The effect, if not the purpose, is to create a procedural basis for delaying discovery while the jurisdictional question is re-briefed, despite the Commission having already analyzed and addressed that question.

V. TSS’s Own Filings Demonstrate Regulated Activity

TSS holds active FMC licenses as both an NVOCC and an OFF (License No. 022839), a fact of which the Commission has taken official notice. (August 28 Order at 2, UMF ¶ 1). As the Commission found in the August 28 Order, TSS’s Verified Answer admits to performing services identified in 46 C.F.R. § 515.2(k) as NVOCC services: assisting with clearing shipments (§ 515.2(k)(5)), arranging for inland transportation (§ 515.2(k)(6)), coordinating movement of shipments between vessel and destination (§ 515.2(k)(8)), and making payments on Complainant’s behalf (§ 515.2(k)(11)). (August 28 Order at 7).

The Villena Affidavit filed with the Motion to Dismiss contains further admissions of the same nature. TSS admits it “brokered the transportation” of container CSHU4047424 from the port to a trucking yard and then to FormuKleen (Affidavit ¶ 17); physically received, handled, stored, and arranged delivery of both containers after offloading in Miami (¶ 14); advanced

customs duties (§ 5); paid port storage fees and transferred container BSIU8431017 to its warehouse (§ 11); and advanced freight to avoid demurrage at the port (Motion at 9). TSS also admits it withheld cargo to secure payment of obligations “both related and unrelated to the shipments at issue” (Motion at 2).

These admissions map directly onto the NVOCC services enumerated in 46 C.F.R. § 515.2(k). They are the same admissions the Commission already credited in its August 28 Order.

VI. Respondent’s Cases Are Distinguishable

TSS relies primarily on *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, FMC Docket No. 1987(I) (2024). In that case, the respondents functioned solely as delivery agents and were not licensed OTIs. Here, TSS holds FMC licenses as both an NVOCC and OFF, and admits to brokering transportation, advancing duties and freight, and warehousing ocean cargo while conditioning its release on payment of unrelated debts. The factual posture is materially different.

Landstar Express America Inc. v. FMC, 569 F.3d 493 (D.C. Cir. 2009), addressed whether an entity that did not hold itself out as providing ocean transportation fell within the Shipping Act. TSS holds itself out as an OTI by maintaining FMC licenses for precisely that purpose. The holding in *Landstar* does not support dismissal here.

The case most relevant to this proceeding, and the one the Commission has already applied, is *Worldwide Relocations, Inc.*, 2012 WL 11914713, which holds that whether an entity acted as an NVOCC is a fact-intensive inquiry examining the totality of the circumstances. That standard is incompatible with dismissal before the factual record is complete.

VII. The Pending Motion to Compel Should Not Be Delayed

Complainant respectfully requests that the Commission not hold the pending Motion to Compel in abeyance while this Motion to Dismiss is briefed. The discovery at issue goes directly to the factual gaps the Commission identified in the August 28 Order. Complainant's opening brief is due April 13, 2026. Discovery closes March 23, 2026. Any further delay in compelling production will deprive Complainant of the ability to develop the record the Commission has directed it to develop, and will effectively moot the remaining discovery period.

Complainant has complied with every directive this Commission has issued; promptly correcting procedural deficiencies, resuming conferral when directed, and filing this response promptly after service. Respondent has not cured the core discovery deficiencies despite months of conferral and despite Complainant narrowing the scope of certain requests. The Commission's prior orders have urged cooperation from both parties, but the record reflects that only one party has engaged in good faith. Complainant respectfully submits that permitting Respondent to file a dispositive motion that consumes the time remaining before Complainant's April 13, 2026 deadlines, while continuing to withhold the evidence the Presiding Officer directed be developed through discovery, is not a neutral outcome. It rewards obstruction at Complainant's direct expense.

VIII. Conclusion

The Commission analyzed jurisdiction in detail on August 28, 2025 and held that genuine factual disputes require a fact-intensive inquiry into the totality of the circumstances, to be developed through discovery. TSS has obstructed that discovery. Complainant has acted in good faith throughout; conferring repeatedly, narrowing disputes, and complying with the Commission's direction to attempt resolution without intervention, even when doing so

consumed scarce time and contributed to Complainant's prejudice as deadlines approached. TSS now asks the Commission to dismiss the case precisely because the record remains undeveloped - the predictable result of TSS's refusal to identify third parties and produce routine business records that would prove or disprove TSS's claimed role. The Motion to Dismiss should be denied, and Complainant's Motion to Compel should be addressed without further delay.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on March 15th, 2026, a true and current copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondent:

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